CHAPTER 21 · PROFESSIONAL LEVEL

Building a Trading System

& Finding an Edge

Explained so simply a 10-year-old gets it

Turning scattered skills into a repeatable machine — what a real edge is, the six parts of a system, and how to know if it actually works.

Stock Market Mastery Roadmap • Professional Level

Everything so far — analysis, Greeks, risk — comes together **here.** A **trading system** is your personal recipe that turns scattered skills into a **repeatable machine.** And at its heart sits one magic word: **edge.** Let's build a system worthy of real money.

🧩 What an "edge" actually is

An **edge** is **not** a secret indicator or a hot tip. It's a **repeatable pattern that makes money on average, for a logical reason.** Three parts must all be true:

- **Repeatable** — it shows up again and again, not once by luck.
- **Positive expectancy** — over many tries, it makes more than it loses (Chapter 5's formula).
- **Logical cause** — there's a *real reason* it works (behaviour, structure, flows) — not just a coincidence in old data.

> **AN EDGE WITHOUT RISK RULES IS JUST A HUNCH**
> A pattern that "usually works" is worthless without **defined risk and sizing** wrapped around it. **An edge without a stop and a position size is not a system — it's a hunch.** The system is what makes the edge *survivable* and *repeatable*.

⚙️ The six parts of a system

A complete system answers all six of these — no gaps, no vague words:

Part	The question it answers
Universe	What do I trade? (which stocks/indices)
Setup	What condition am I hunting for?
Entry trigger	Exactly *when* do I click?
Exit (stop + target)	Where do I get out — wrong, or right?
Sizing	How big (using the 1% / R rules)?
Regime filter	When is this system switched OFF? (wrong weather)

The **regime filter** is what pros add and beginners forget: a great trend system should **sit out** choppy markets, and vice-versa. Knowing when *not* to play is half the edge.

🎛️ Discretionary vs systematic

- **Discretionary** 🧑‍💼 — you follow rules but use **judgement** on each trade.
- **Systematic** 🤖 — the rules are **so exact** a computer (or a stranger) could follow them with no opinion.
- It's a **spectrum**, not a choice — most traders live somewhere in between. The more systematic, the easier to **test and trust.**

🔢 Sample size: why 20 trades prove nothing

> **COINS, LUCK, AND LARGE NUMBERS**
> Flip a fair coin 10 times and you might get 8 heads — that doesn't make it a "heads machine." Same with trading: **20 trades can look amazing (or awful) purely by luck.** You need a **large sample** (think 50–100+ occurrences) before results mean anything. **The market pays for discipline over many trades, not for being right on the next one.**

🧱 Robustness: does the edge travel?

A **robust** edge keeps working when you change things a little. Test whether it survives:

- across **different instruments** (not just one lucky stock),
- across **different time periods** (not just last year),
- with **small parameter changes** (if moving a setting 1% breaks it, it was **curve-fit noise**).

SIMPLICITY IS ROBUSTNESS

A simple rule with few settings is **hard to fool** and easy to trust. A complex one with ten knobs usually **hides curve-fitting** — it was tuned to *past* data and will break in the future. When choosing between two edges, prefer the **simpler, more robust** one almost every time.

📝 Documentation: write it so a stranger could run it

If your system lives only in your head, it will **drift** with your mood. Write it as a **one-page checklist** so clear that a **friend could execute it identically** — that's the test of a real system.

💡 Key ideas to remember

- **An edge without defined risk and sizing is not a system — it's a hunch.**
- **The market pays for discipline over a large sample**, not for being right on the next single trade.
- **Simplicity is robustness** — complexity usually hides **curve-fitting.**

PRACTICAL EXERCISES

- 📄 **Write one complete system on a single page** — a friend should be able to execute it **identically** to you.
- 🛑 **Define, in advance, the metrics that would make you STOP** trading it (how you'll spot **edge decay**).
- 🔢 **Trade it — paper, then small — for 50+ occurrences** before you judge it.

REAL-WORLD APPLICATION

- 📈 A **written system** is what lets you **scale size with confidence** — and, crucially, diagnose a losing streak correctly: is this **"normal variance"** (the system is fine, just unlucky) or a **"broken edge"** (something really changed)? Without a written system you can't tell the difference — and you'll quit good systems and cling to dead ones.

ONE-LINE SUMMARY

An **edge** is a repeatable, positive-expectancy pattern with a **logical cause** — wrapped in a **six-part system** (universe, setup, entry, exit, sizing, regime filter) it becomes tradable. Judge it over a **large sample** (50+), demand **robustness** across instruments/periods, keep it **simple** (complexity hides curve-fitting), and **write it down** so it survives your moods.